The W-2 Escape Plan

Know Your Number Before You Give Notice

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You've been thinking about it for months — maybe years. Leaving the W-2, going independent, building something of your own. The dream is clear. What's usually missing is the financial architecture underneath it. This checklist covers the decisions that determine whether your transition is calculated or chaotic.

The Runway

- [ ] **Do you know your monthly burn rate — the real one?** Add up everything, then add 15% for the things you forgot. Most people underestimate by 20-30%.
- [ ] **Do you have 12-18 months of living expenses in liquid savings?** Not invested. Not in a retirement account. Liquid. Six months is for employed people. You need more.
- [ ] **Have you stress-tested against a delayed revenue scenario?** What if your first client takes 6 months? Model the worst case, not the optimistic one.

Health Insurance

- [ ] **Do you have a post-employment health insurance plan?** COBRA (18 months, $1,500-2,500/mo for a family), ACA marketplace, or a spouse's employer plan. The cost swing can be $15,000-30,000/year.
- [ ] **Are you maximizing current employer benefits before you leave?** Schedule every deferred appointment, fill prescriptions, use your FSA balance. This is free money you're walking away from.

Entity Setup & Tax Architecture

- [ ] **Have you decided on your business entity structure?** An LLC provides liability protection. An S-corp election can save thousands in self-employment tax once income exceeds ~$50-60K.
- [ ] **Do you understand the self-employment tax impact?** You pay both halves of Social Security and Medicare — 15.3% on the first $184,500 in 2026 plus 2.9% above that. This is in addition to income tax. Limits are adjusted annually.
- [ ] **Have you set up quarterly estimated tax payments?** The IRS expects you to pay as you earn. If you owe more than $1,000 at filing, you'll face underpayment penalties.

Retirement Accounts

- ☐ **Do you have a plan for your employer 401(k)?** Leave it, roll to an IRA, or roll to a new plan. Do not cash it out — the tax hit plus 10% penalty will cost you a quarter of the balance.
- ☐ **Have you evaluated a Solo 401(k) or SEP-IRA?** A Solo 401(k) lets you contribute up to $72,000/year ($24,500 employee + up to 25% employer). A SEP-IRA limits you to 25% of net self-employment income. Limits are adjusted annually.
- ☐ **Are you planning to use an HSA?** With a high-deductible health plan, you can contribute $4,400 (individual) or $8,750 (family), plus $1,000 catch-up at 55+. The only triple-tax-advantaged account in the tax code. Limits are adjusted annually.

Income Replacement

- ☐ **Do you have your first client identified before you leave?** Ideally, you've already landed your first paying client while still employed. This validates the model and puts cash flow on the calendar.
- ☐ **Have you calculated your break-even number?** Monthly revenue needed to cover personal burn + business costs + quarterly taxes. Know this number cold.
- ☐ **Do you have a non-compete agreement?** Read it carefully. Violating one can result in an injunction and damages. Get legal advice before you give notice.

Personal Financial Architecture

- ☐ **Is your personal emergency fund separate from business runway?** Different accounts, different purposes. Don't raid one for the other.
- ☐ **Have you had the conversation with your spouse or partner?** They need to understand the timeline, the plan, the risks, and their role. Alignment here prevents 90% of the stress.
- ☐ **Do you have a written transition plan with specific dates?** 'Someday' is not a plan. A timeline with milestones converts a dream into a project.

Your Departure Timeline

Use this worksheet to map your transition. Fill in target dates and check each box as you complete it. A calculated departure has milestones — not just a quit date.

Month -12: Foundation

- [ ] **Calculate real monthly burn rate** (include 15% buffer): $_______/mo
- [ ] **Determine liquid runway** Savings ÷ burn rate = _______ months
- [ ] **Research health insurance options** COBRA: $_______/mo | Marketplace: $_______/mo | Spouse plan: $_______/mo

Month -6: Architecture

- [ ] **Choose and form business entity** LLC / S-Corp / Sole Prop — filed in: ______________
- [ ] **Open business bank account** Separate from personal. Non-negotiable.
- [ ] **Set up Solo 401(k) or SEP-IRA** Provider: ______________ | Contribution target: $_______/yr
- [ ] **Land first client or signed LOI** Client: ______________ | Revenue: $_______/mo

Month -3: Preparation

- [ ] **Calculate break-even revenue** Personal burn + business costs + quarterly taxes = $_______/mo
- [ ] **Review non-compete with attorney** Attorney: ______________ | Clear to proceed: Y / N
- [ ] **Max out employer benefits** FSA balance used / prescriptions filled / dental + vision scheduled
- [ ] **Have the conversation with your partner** Alignment on timeline, risks, and their role.

Month 0: Departure

- [ ] **Submit resignation** Target date: ______________
- [ ] **Roll employer 401(k)** To: IRA / Solo 401(k) / Leave in place
- [ ] **Activate health insurance** COBRA start / Marketplace enrollment / Spouse plan effective
- [ ] **First quarterly estimated payment** Due date: _______ | Amount: $_______

Want help filling this in? Book a 15-minute call and we'll walk through your specific numbers — runway, entity choice, tax architecture, and timing. No pitch. Just math.

Ready to build your escape plan?

The difference between a stressful leap and a calculated transition is a few hours of financial architecture work. Runway math, entity setup, tax optimization, and income sequencing — that's what we build together.

Book a complimentary 15-minute intro call. We'll talk about your timeline, your runway, and whether flat-fee planning is the right fit.

Josh St. Laurent, CFP®, CFT™, APFC®, ACC, MS — Founder, Wealth In Yourself

Book a 15-minute intro call →